

Advisors and individual investors should perform a postanalysis of each investment: Where did you make money? Where did you lose money? Mentally separate your good, money-making decisions from your bad ones. Then, review the beneficial decisions and try to discern what, exactly, you did correctly: Did you purchase the stock at a particularly advantageous time? Was the market, in general, on an upswing? Similarly, you should review the decisions that you've categorized as poor: What went wrong? Did you buy stocks with poor earnings? Were those stocks trading at or near their recent price highs when you purchased them, or did you pick up the stocks as they were beginning to decline? Did you purchase a stock aptly and simply make an error when it came time to sell? Was the market, in general, undergoing a correction phase?

When reviewing unprofitable decisions, look for patterns or common mistakes that perhaps you were unaware of making. Note any such tendencies that you discover, and try to remain mindful of them by, for example, brainstorming a rule or a reminder such as: "I will not do X in the future" or "I will do Y in the future." Being conscious of these rules will help you overcome any bad habits that you may have acquired and can also reinforce your reliance on the strategies that have served you well.

Remember: Being humble and learning from your past mistakes is the best way to become a smarter, better, and more successful investor!

NOTES

1. Dana S. Dunn, "Demonstrating a Self-Serving Bias," *Teaching of Psychology* 16 (1989): 21–22.
2. Simon Gervais and Terrance Odean, "Learning to Be Overconfident," *Review of Financial Studies* 14 (1): 1–27.
3. Ibid.